FLOOR & DECOR HLDGS FND

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by valueinvestor03

			2026	2027
Price:	60.52	EPS	1.98	0
Shares Out. (in M):	107	P/E	28.7	0
Market Cap (in $M):	6,450	P/FCF	0	0
Net Debt (in $M):	1,692	EBIT	0	0
TEV (in $M):	8,140	TEV/EBIT	0	0

Description

Introduction

Floor & Décor (FND) is the only national, warehouse-format specialty retailer focused exclusively on hard-surface flooring and accessory products. As of June 2026, the company operated 281 warehouse stores and five design studios across 39 states. Management has indicated that it believes the United States can support at least 500 warehouse locations over the long term, although the pace of store openings has slowed over the past 1.5 years as the housing market has stagnated. However, the long-term opportunity still exists to take share in a fragmented industry by offering the largest in-stock assortment, low prices, and better service, while continuing to open stores in underpenetrated markets.

Near-term, the housing market remains stuck in the mud. Existing-home sales are near historically depressed levels, consumers are undertaking fewer large flooring projects given high mortgage costs, and comparable store sales have been negative since 2023. Despite the difficult environment, Floor & Decor continues to open stores, which is resulting in rising new-store operating costs before those locations reach maturity. Currently about 50% of the stores have been open for 5 years or less. The adjusted EBITDA margin has consequently fallen from 14.1% in 2021 to 11.5% in 2025. The company has essentially been expanding its store base (i.e. fixed costs) into one of the weakest flooring/housing markets in many years.

However, the market is obviously aware of these issues and has marked the stock price down by over 50% since rates began rising in early 2022. The EV/EBITDA multiple has fallen from around 30x in late 2021 to around 14x today. While the financial results haven't been great, I don't think they indicate that the model is broken. While the industry is in a severe downturn, according to management, Floor & Décor continues to gain market share from local and regional independent distributors and smaller specialty tile shops that may lack the liquidity to survive a prolonged downturn. I don't know when the industry will turn around, but when it does, Floor & Décor will be in a position to capitalize. In the meantime, comparable sales remain weak, but Pro sales are growing, gross margins remain strong, management continues to open new stores, and the balance sheet allows the company to keep investing through the cycle. When housing turnover eventually normalizes, Floor & Decor should emerge with a larger, more mature store base with substantial operating leverage.

At approximately $60 per share, the company has a market capitalization of roughly $6.3 billion. As mentioned previously, the company is valued at 14x on depressed EBITDA. Consolidated adjusted EBITDA per store has declined from $3 million in 2021 to just under $2 million in 2025. The stock will start working again if the company can continue opening attractive stores, return comparable sales to modestly positive territory, and recover even part of the margin lost since 2021. It does not require a return to the extraordinary conditions that occurred in the wake of the pandemic.

Overview

Floor & Decor's warehouse stores average approximately 75,000 square feet and carry roughly 4,200 SKUs, one million square feet of flooring, and $2.7 million of inventory at cost. The assortment includes tile, wood, laminate, vinyl, and natural stone, along with installation materials, decorative accessories, and adjacent bathroom and kitchen products such as countertops and wall tiles. A typical home improvement retailer (i.e. Lowe's and Home Depot) devotes only a small portion of its selling space to flooring, while most independent flooring dealers lack the scale to carry a comparable assortment of in-stock products.

Immediate availability is an important consideration in flooring that Floor & Décor has attempted to improve on as compared to the industry. Contractors cannot afford to delay a project while waiting weeks for material, and homeowners generally want to see and feel a product before committing to an expensive and disruptive renovation. Floor & Decor's stores function as both showrooms and distribution points. Customers can research online, inspect products in person, and take home enough inventory to complete a project, all in the same day. Approximately one-fifth of sales now involve the online channel, but most digital orders are fulfilled through stores.

The company sources most products directly from more than 240 domestic and international vendors, bypassing traditional importers, wholesalers, and distributors. Its scale allows Floor & Decor access to proprietary products and attractive volume pricing. The result is that it can offer a value proposition that is difficult for other competitors to match. Big-box retailers have purchasing scale but on a narrower set of SKUs and some products are not held in inventory and must be ordered. Independent dealers can offer expertise, local service, and unique inventory, but generally lack Floor & Decor's breadth, availability, and pricing power.

Recent Category Weakness

Flooring is among the more discretionary home improvement categories. Projects are expensive, inconvenient, and can typically be postponed. Demand also benefits from housing turnover because sellers frequently replace flooring before selling a home or buyers do so shortly after purchase. Existing-home sales have remained near four million annualized units, versus a pre-pandemic norm closer to 5 or 5.5 million, as 6.5%+ mortgage rates and home prices have reduced affordability and discouraged homeowners with low mortgage rates from moving.

In addition to a weak housing market, the US housing stock is also ageing. The median U.S. housing unit was 44 years old in 2023, while the median owner-occupied home had aged from 31 years in 2003 to 42 years in 2023. Older homes require significantly greater investment. According to the Harvard Joint Center for Housing Studies *Improving America's Housing 2025*, owners of homes built before 1980 spent 24% more on improvements and 76% more on maintenance than owners of homes built since 2010. Yet, as previously mentioned, one of the most important triggers for that spending, which is housing turnover, has stalled. Existing-home sales totaled only 4.06 million in 2024, the lowest level since 1995, and remained near a 4.1 million annualized pace in mid-2026. This matters because remodeling activity rises sharply around a transaction. From the same Harvard report, recent buyers spend approximately 51% more on improvements than those not moving, while homeowners undertaking projects in preparation to sell spend roughly twice the annual per-owner average.

As there is currently about $35 trillion of aggregate homeowner equity in the US, the problem isn't lack of equity. Housing turnover is low because 75% of current mortgages have rates below 5%, with 60% at 4% or less. Given higher rates stacked on higher prices, selling a home today could easily result in a much higher mortgage payment even with little incremental borrowing. However, as each year of depressed turnover defers some projects, the base of future demand only builds over time.

Floor & Decor's comparable-store sales declined 7.1% in 2024 and 1.8% in 2025. In the second quarter of 2026, comps declined another 2.1%, driven by a 2.9% decline in transactions partially offset by a 0.8% increase in average ticket. Customers have also shifted toward smaller projects, reducing square footage per transaction. These results aren't great, but they're consistent with a category experiencing weak demand rather than a company specific issue with Floor & Décor. However, there are some data points moving in the right direction. First, Pro sales grew approximately 4% in the second quarter of 2026 and represented roughly 55% of total sales. Professionals purchase more frequently, generate referrals, and are generally more focused on price and availability rather than brand marketing. Continued Pro growth in a contracting market suggests that Floor & Decor's core value proposition remains intact.

Second, performance has improved sequentially. Comparable sales declined 3.7% in the first quarter of 2026 and 2.1% in the second quarter, while monthly comps improved from a 5.1% decline in April to a 0.3% decline in June. Transactions also improved from a 5.5% decline in the first quarter to a 2.9% decline in the second. Also, installation materials continue to grow as Floor & Decor captures more of the Pro's project spend and Pro's spending as a percentage of total spend grows. Tile and wood have outperformed the company, while pricing and merchandising changes have improved trends in vinyl despite industry oversupply. Half of the company's districts generated positive comps excluding cannibalization during the second quarter. A few months trending in the right direction doesn't establish a durable recovery, and management noted continued volatility around the July holiday period. Nevertheless, the business appears it's getting closer to stability, even without an improvement in the macro.

Management entered 2026 assuming the environment would resemble 2025 and now expects full-year comparable sales between flat and down 4%. Needless to say, current demand is depressed. Housing turnover can remain weak longer than expected, but the US cannot indefinitely sustain existing home sales near multi-decade lows without creating pent up demand. When housing turnover eventually normalizes, Floor & Decor should benefit both from deferred flooring projects and from the larger store base it has built during the downturn.

Competitive Advantage

Floor & Decor competes against Home Depot and Lowe's at opening price points and in installation materials, but the larger share opportunity comes from thousands of independent specialty retailers. The industry remains highly fragmented, and many local dealers purchase through distributors, carry limited inventory, and lack the resources to match Floor & Decor's digital tools, credit programs, loyalty benefits, design services and, massive inventory. Floor & Décor's growing scale reinforces its competitive position as more stores support larger direct orders and deeper vendor relationships. Better sourcing supports lower prices and differentiated products. A broader in-stock assortment attracts Pros, whose repeat purchases increase store productivity and local brand awareness. Higher volumes then create additional purchasing leverage. Unlike a conventional retailer whose assortment can be copied relatively easily, Floor & Decor's advantage comes from its larger store footprints, inventory depth, and sourcing, merchandising, and service capabilities.

The Pro customer is particularly important to the business. Floor & Decor offers dedicated Pro entrances and sales teams, product storage, credit programs, pricing, and the Pro Premier loyalty program. Installation materials have become an important customer acquisition tool because contractors purchase them more frequently than flooring. Each visit creates an opportunity for Floor & Decor to capture a larger portion of the contractor's spending and to influence where the contractor sends homeowners to view and purchase materials. Pro penetration has increased substantially over time and, as previously mentioned, reached approximately 55% of sales in the most recent quarter.

Finally, free design services provide a complementary advantage with homeowners. In-store designers help customers create a plan and visualize a potential product which leads to increased conversion and generally higher sales and gross margins. The service is available in every warehouse store, while five small-format design studios are located in urban markets.

The Store Runway

Floor & Decor ended 2025 with 270 warehouse stores and expects to open 20 more in 2026. Management believes the domestic market can support at least 500 over the long term, implying a long runway for store openings. The company has reduced the rate of expansion as the base has grown and the flooring market has weakened. Opening 20 stores from a base of 270 represents approximately 7% unit growth, far below the 20% annual target presented at the 2022 investor day. Despite the lower pace of openings, I think it is beneficial from the standpoint that it reduces execution risk and capital intensity while still supporting revenue growth in a weak market.

New locations are also becoming a little bit smaller. Stores built in 2026 are expected to average approximately 55,000 square feet, versus roughly 75,000 square feet for the existing fleet. Management believes the smaller format can enter denser markets without sacrificing sales productivity or compromising the company's advantages, including a broad assortment, Pro services, and free design. Smaller stores should expand the pool of acceptable real estate locations and potentially reduce occupancy and construction costs.

The 2022 investor day framework called for $14 million to $16 million of first-year sales, more than $2.5 million of first year four-wall EBITDA, and a 2.5 to 3.5 year payback on a typical new store. Current stores are opening into a much weaker demand environment with higher construction costs, and management has disclosed that recent classes of stores have averaged closer to $11 million in first year sales, falling far short of the 2022 sales expectations. Even so, it continues to view new stores as its highest returning use of capital and it continues to fund the program internally. Approximately half of the store base is less than five years old. This creates a near term burden because newer stores have pre-opening costs and poorly leverage labor and occupancy costs. But ultimately, once the market recovers, this expanding footprint creates future earnings potential. If recent store additions mature as expected, Floor & Decor can generate growth from the existing base even if annual store openings remain near 20.

Margin Recovery and Capital Allocation

As mentioned previously, the EBITDA margin has declined by 340 bps since 2021. Weak comps, new store costs and distribution center investments have hurt profitability. It's probably fair that not all of the decline should be dismissed as temporary. New stores may produce lower volumes than prior classes, smaller formats may produce slightly different economics, and competitive pricing investments could pressure gross margins. However, the current cost structure is burdened by negative comparables and a large base of immature stores. Retail models with meaningful fixed store expenses are highly sensitive to comparable sales. Just look at what happened to Ross Stores when comparables jumped a couple of quarters ago. A return to modestly positive comps would leverage store labor, occupancy, distribution, and corporate costs, while store maturation will add a natural tailwind over time without requiring equivalent incremental investment.

Gross margin has remained relatively resilient despite the demand decline. Adjusted gross margin was 43.7% in the second quarter of 2026, down only 20 basis points year over year. Management expects approximately 43.6% to 43.8% for the full year including selectively reinvesting tariff refunds and sourcing benefits into price. Reported second quarter gross profit and EPS are not directly comparable because the company recognized a one-time $56 million COGS benefit from refunds of tariffs previously paid under IEEPA. Excluding that benefit and related items, adjusted diluted EPS was $0.58, flat year over year. The larger underlying earnings issue has been SG&A deleverage, which will improve with a recovery in comparable sales, rather than merchandise margins.

Floor & Decor generated $381.8 million of operating cash flow in 2025 and spent $317.8 million on capital expenditures. Free cash flow was only about $64 million, but the figure reflects substantial investment in new stores and infrastructure. Plus, operating cash flow was burdened by a working capital outflow. Management reduced its 2026 capital expenditure outlook to $240 million to $275 million as second use sites and smaller stores lowered construction cost estimates. First half operating cash flow improved to $278 million, while capital expenditures declined to $137 million. The improvement was aided by working capital timing.

The balance sheet is conservatively financed. At the end of the second quarter, Floor & Decor held approximately $321 million in cash compared to $200 million of term loans and had no borrowings under its asset-based revolver. During the quarter, it refinanced its credit facilities, extending the term loan to 2033 and the revolver to 2031. However, the company has the capacity to continue investing through the downturn without relying on aggressive leverage. Management also authorized a $400 million share repurchase program and repurchased approximately $66 million during the second quarter.

Valuation

At roughly $60 per share, Floor & Decor trades at approximately 14.3x NTM adjusted EBITDA, including operating leases. That multiple is not optically cheap for a company with negative comparables, but I think it’s attractive based on what the company could be generating in a normalized environment within a few years. If you assume the company continues to open stores at a rate of 7% growth per year over the next five years, the store count would approach 400 stores by 2031. Assuming comparables turn slightly positive and the EBITDA margin gets back to over 12%, EBITDA will approach $1 billion by 2031, or over $2.4 million per store, still well below the $3 million (i.e. consolidated EBITDA per warehouse store) reached in 2021 and 2022. With share repurchases between now and then, I think mid-teens equity compounding is achievable.

The bull case doesn’t need the company to restore the 2022 investor day targets. At this price, a more modest outcome could still generate attractive returns with something like MSD to HSD unit growth, LSD positive comps, incremental maturation of the young store base, and some positive operating leverage. Under that scenario, revenue growth and fixed cost leverage should allow earnings to grow considerably faster than sales. Given how moribund the housing market is currently, I think the downside case is that things largely continue as they have, but for an extended time period. If housing turnover remains depressed, comps stay near zero or negative, and new-store returns are poor, the stock would likely stagnate with potential multiple contraction.

Risks

- The principal risk is that interest rates remain elevated or rise further and housing is structurally weak for an extended period. Consumers may continue shifting toward smaller projects, deferring larger ones, and continued expansion could be value destructive.
- New store execution is also a major risk. Smaller formats may not maintain the assortment and inventory advantage that differentiates the concept. New stores can also cannibalize existing locations, while higher construction and occupancy costs may reduce returns. The 500 store opportunity is more risk than opportunity if incremental returns are poor.
- Floor & Decor also relies heavily on imported merchandise. The company has reduced its direct exposure to China, but sourcing remains concentrated in other international markets. Tariffs, freight disruption, or supplier instability could raise costs and force a choice between margin compression and higher prices.
- Floor & Decor has also recently undergone a significant leadership transition. Trevor Lang retired as President in March 2025 after approximately 13 years with the company, while longtime CEO Tom Taylor moved to the Executive Chair role in December 2025. Brad Paulsen became CEO less than a year after joining Floor & Decor as President. Paulsen’s previous experience includes Home Depot, HD Supply, and Rexel. While Paulsen’s experience qualifies him for the job, executive turnover always brings risks.
- Finally, the stock's valuation already discounts some recovery. If housing remains weak while margins fail to improve, the shares could underperform even if the company continues to grow. Ultimately this investment is based on the idea that the housing market has been terrible, it likely won’t get much worse and will normalize eventually, and when that happens, Floor & Décor will be a significant beneficiary.

Conclusion

Floor & Decor is a strong retailer operating in a weak category. Its combination of direct sourcing, everyday low prices, massive inventory, Pro services, and free design is difficult for either big-box retailers or independent flooring dealers to replicate. The company has continued to expand sales and gain share despite historically low housing turnover, while its balance sheet provides the flexibility to continue to invest through the downturn. The market has marked the stock down sharply, which is understandable. Comparable sales have been negative, EBITDA margins have fallen, free cash flow is burdened by new-store investment, and the company didn’t get close to achieving its 2022 targets. But on the other hand, the stock price has been more than cut in half since the beginning of 2022. The idea does not depend on management reaching 500 stores quickly or restoring peak margins. It depends on a few key issues such as recent store openings must mature toward acceptable returns, housing turnover will eventually normalize, and modest positive comps will restore some fixed cost leverage. If those conditions are met, Floor & Decor should exit the downturn with a larger and more productive store base, stronger relationships with Pros, and meaningfully higher earnings power.

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Catalyst

- Stabilization in existing home sales.
- A return to positive comparable sales.
- Maturation of recent store classes and recovery in operating margin.
- Continued share repurchases at depressed valuations.

Messages

Subject Comments
Entry 08/13/2026 03:44 PM
Member VC2020

Why has the business (on a same-store basis) not gained more share during this downturn? Almost the entirety of the value proposition is SKU count + low cost vs. what a comparable competitor might be able to offer. One would think the low cost advantage (the most important one in my view) would allow them to gain quite a bit of share in an environment where people are scraping for pennies, but that hasn't looked like the case. I understand they are somewhat cannibalizing their more mature stores, so it gets harder to measure, but have you done any math on that? I think on a relative basis its far easier for anyone to open new stores and gain share that way vs. doing so on a same-store basis, so while you could argue they have gained share on a total sales basis, I'm not sure that's the best measure of performance. Their pre-covid record remains impressive, though.

Do you actually know why Tom and Trevor left? Well less so in terms of Tom but still. They were very long-term oriented people and I was surprised to see them take steps back in the middle of one of the worst downturns the business has seen. It strikes me as somewhat odd.

I want to become a shareholder again in this business - I was a while back - but something is stopping me and I'm not sure what it is.

Subject Re: Comments
Entry 08/17/2026 03:11 PM
Member valueinvestor03

VC2020 - I think you are right that they have gained share on a total sales basis, but it's very difficult to gauge on a same store basis.

I don't have overall industry market share data but I think it is fair to say that Floor & Decor has gained share given that fact that LL went through bankruptcy and now has around half the stores it had in 2019. And The Tile Shop had lower revenue in 2025 than it had in 2019 with 2 fewer stores. So while Floor & Decor's comps have been negative, like The Tile Shop, at least part of the reason for that is cannibalization (like you mention) as Floor & Decor has continued to open new stores. I'm not suggesting this plays a huge role, but it does contribute. As a result, Floor & Decor's revenue has grown each year, despite negative comps. I think it's also likely that other smaller regional and local tile distributors have had a similar experience to LL and The Tile Shop. So I can't put specific numbers on it, but it seems clear that Floor & Decor has gained increased share in terms of total sales of a shrinking industry, which bodes well for the eventual turnaround. Regarding management, I don't know why Trevor left and Tom decided to step away, but I do take comfort in the fact that Tom remains actively engaged as the Executive Chairman.

Subject Re: Re: Comments
Entry 08/18/2026 09:12 PM
Member VC2020

Thanks for the response. I guess in my view this is the crux of the issue. Gaining share by opening new stores is in my head a low bar -- anyone can gain share if they open stores at a high rate. But its the productivity of the share gain that matters more (i.e. unit economics, comp sales). I get that there are other factors outside of their control and that self cannibalization is extremely hard to measure, though.

It's not super specific because they don't necessarily break it out, but comps at HD and Lowes for the "flooring" category for the past 3 years (essentially when this downturn began) have averaged something close to -3% and -7%, respectively while FND's have averaged -5%. I would have expected FND to do far better than these companies given the value proposition, relative immaturity of stores, etc. but it doesn't look like that's the case. Perhaps they are doing far better than independents, but interestingly enough Tile Shop's comps have basically been the same as FND's over the same timeframe which seems odd to me. And given their goal is 500 stores in the long term, its hard for me to understand why cannibalization would play such a big role in same store sales this early in reaching that goal.

At the very least the above has caused me to question some assumptions as I would have thought that the model would really have shined on a relative / competitive basis in a downturn where the value proposition ought to get more important for customers, but it seems like that's not whats happening. I guess we will see.

Subject Re: Re: Re: Comments
Entry 08/19/2026 06:12 PM
Member Rulon Gardner

One thing that we don't know is the average age of the homes in their store footprint and how FND index to new homes. I remember speaking to someone who worked at HD and he said something along the line that HDs in a zip code where the average age is 30 years old just mint money. Everything breaks and home owners constantly need to buy replacements. I would imagine any houses that are under 10 yrs old isn't going to need much replacement flooring. Get that age up to 25-30 years old and the old tiles start to look tired and you have enough broken tiles to want to fix it. As FND adds stores, the mix of the new zip codes likely plays a big role.